# DR1X Stock Scalping Strategy

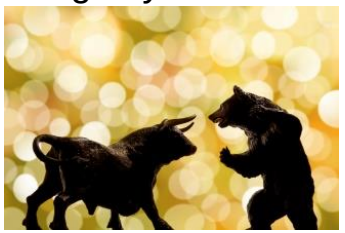
By: Alson Chew

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# DR1X STOCK SCALPING STRATEGY

## DR1X Stock Scalping Overview

DR1X is a newly developed stock scalping strategy based solely on DR1 structure. It is a simple yet effective way to do short term trading in stocks with a time horizon of usually less than 2 trading days.



## Types of Products Recommended for Short-Term Trading Stocks

- ✓ US markets through discount brokers (Example Thinkorswim or Interactive Brokers)

Point to note: Short-term trading in non-US market stocks may incur higher commission rates. Trader must be aware that there is a risk of holding the position overnight if feedback is not achieved during the cash market session.

## What do you need?

Steel of patience and discipline to exit the positions with pre-determined profit or loss level. The trader can set a default Risk to Reward (RR) ratio of 1.7.

- ➢ Use the PAM Risk Management excel to help size your trade correctly

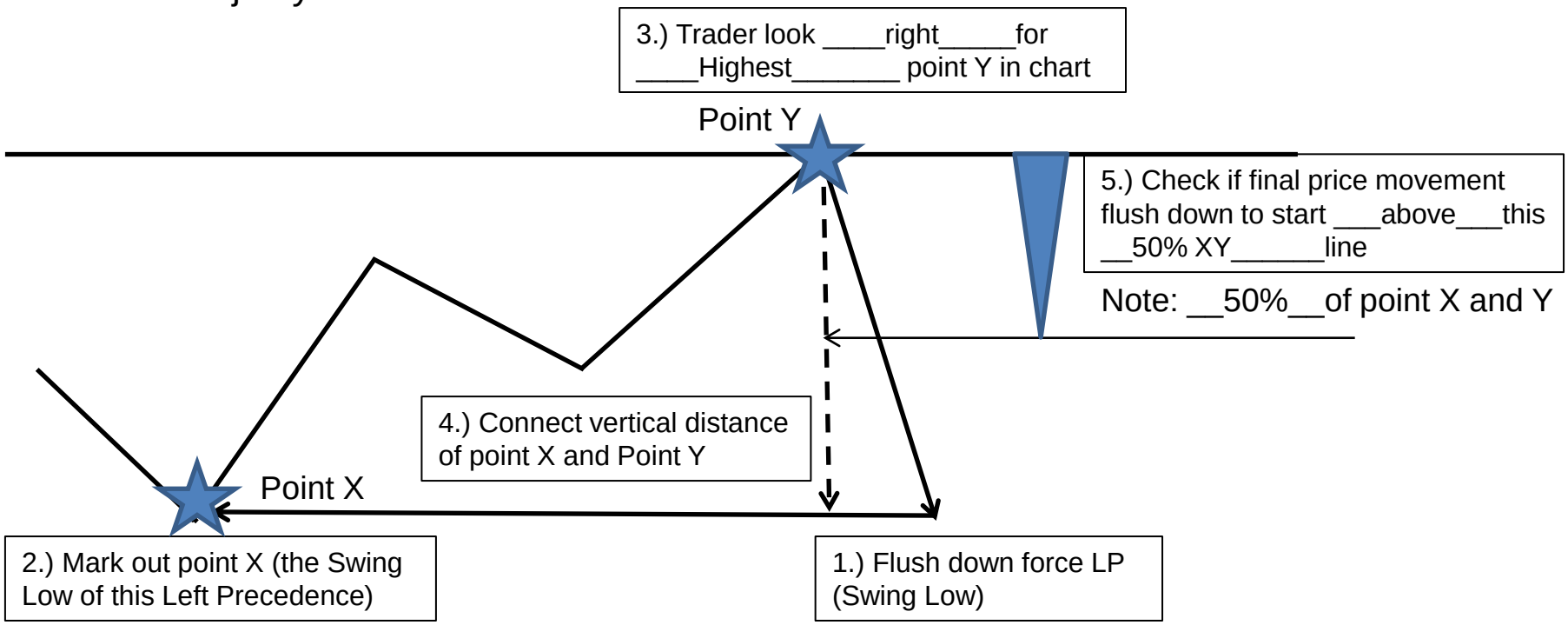
- ➢ Max 2 open positions at any one time and max 4 open trades done in a single trading session.

Due to the nature of short-term trading, the trader has to make quick trading decisions and be familiar with trade execution tools. Therefore, the aspiring short-term trader is advised to practice this specialized skill set on paper first before going live.

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# DOWNSIDE REVERSAL 1 – DR1 ACCUMULATION FORMATION

Overview of Majority Flush Down




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**Entries**

✓ Within sweet spot of bullish EXE
(see Entries & Exits Guideline lesson)

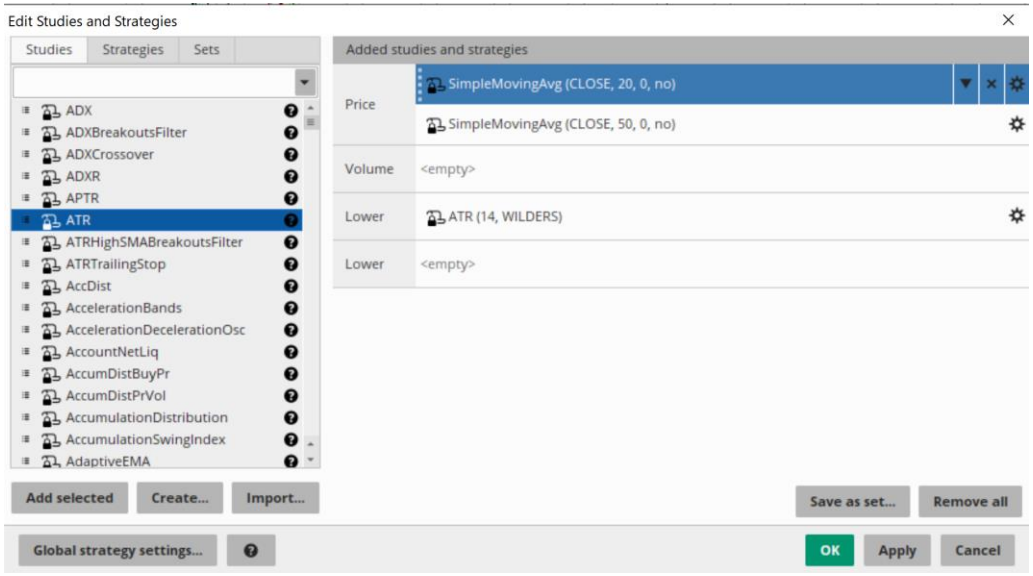
**Stop Loss (SL) PLACEMENT**

✓ Ensure SL to be at or below immediate swing low

Use ATR (14 period) to check if entry and SL distance is too wide.

Right click anywhere in TOS flexible grid chart -> Studies -> Edit Studies -> Select the default ATR (14 period) as shown and click OK. Your flexible grid chart will have the ATR (14 period) at the bottom of the chart.

ATR is the average range of the latest 14 preceding bars for the given time frame







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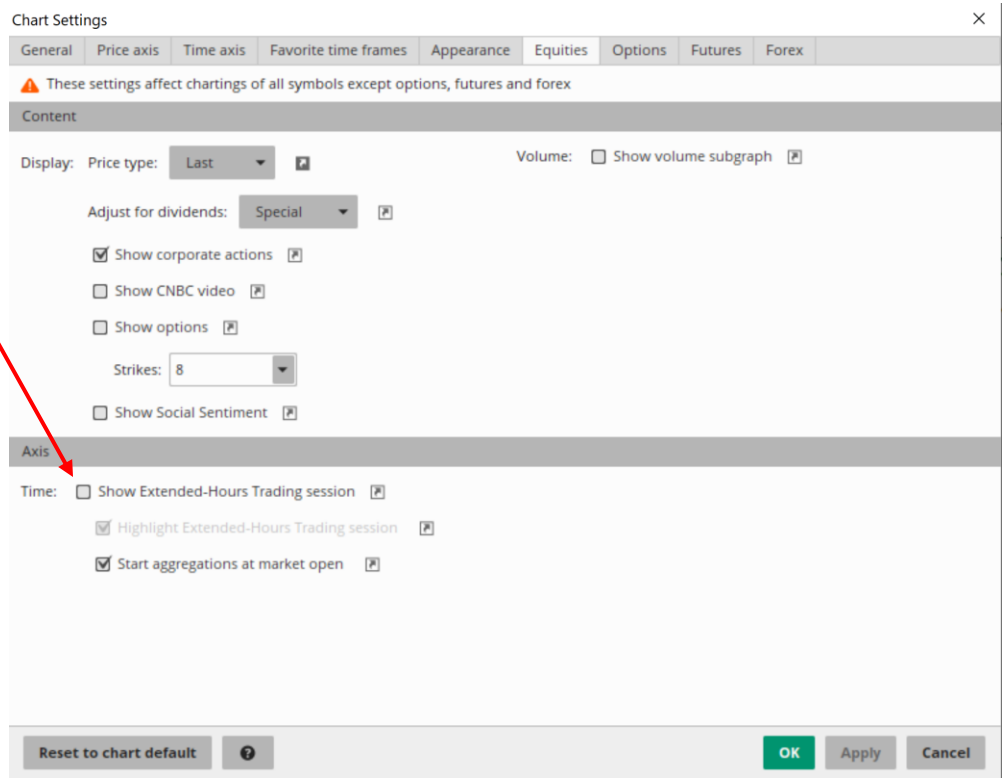
# DR1X STOCK SCALPING STRATEGY

## Time Frame

- ✓ To use 5 days 30 mins configuration (Similar to Scalp Flexible Grid layout)

Right click anywhere in TOS flexible grid chart -> Style -> Settings-> Ensure your configuration is similar below

Note that we only trade cash market session (930am to 4pm EST). We do not trade pre and post cash market due to low volume, hence **uncheck** the Show Extended-Hours Trading session here.




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# DR1X STOCK SCALPING STRATEGY - EXAMPLES







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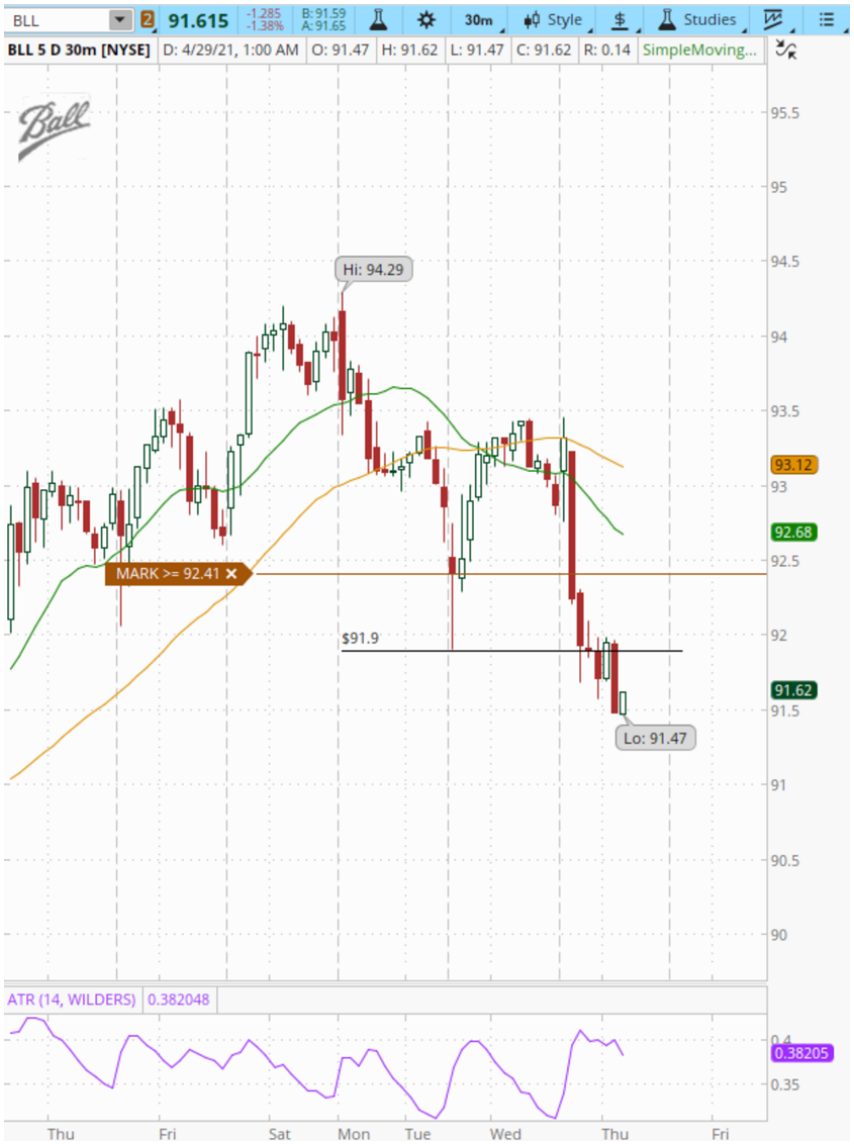
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# DR1X STOCK SCALPING STRATEGY - EXAMPLES




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# DR1X STOCK SCALPING STRATEGY

## Summary

Short term trading on stocks requires patience and lots of practice. Due to the higher frequency of trades, it is important to choose a low transaction cost broker for the products you are trading. Due to higher leverage nature of short term trade, the trader must cut loss mercilessly when a trade is invalidated. In addition, always close out short term trade positions before earnings day.

## IMPORTANT NOTE

Holding position overnight may result in significant risk if price go against the trader, hence it is important to take note of the following:

1. Only open up to max of 2 positions at any one time
2. Cut loss mercilessly when trade is invalidated (SL)
3. Trader must be comfortable and understand the overnight position risk involved in this DR1X strategy

**Margin Requirements**

- ✓ Generally, a $20k account (margin 1:2 to margin 1:3) allows for up to 1 trade with $100 risk per trade
- ✓ Example: Each trade value to risk $100 per trade is around $20k
- ✓ Example: Each trade value to risk $200 per trade is around $50k

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# DR1X STOCK SCALPING STRATEGY

**Pattern Day Trader (PDT) Rule for the Stock Trader**

- ✓ For trading accounts less than $25k usd, it will be subjected to PDT (Pattern Day Trader Rule). Trader under PDT can only execute max of 3 round trips in 5 trading days.

- ✓ Stock scalper can consider Stock CFD instead.

Example instead of trading BA stock, one can choose to trade BA Stock CFD instead.

- ✓ Note that Thinkorswim (TOS) does not have stock CFDs. Interactive Brokers (IB) have access to stock CFDs.

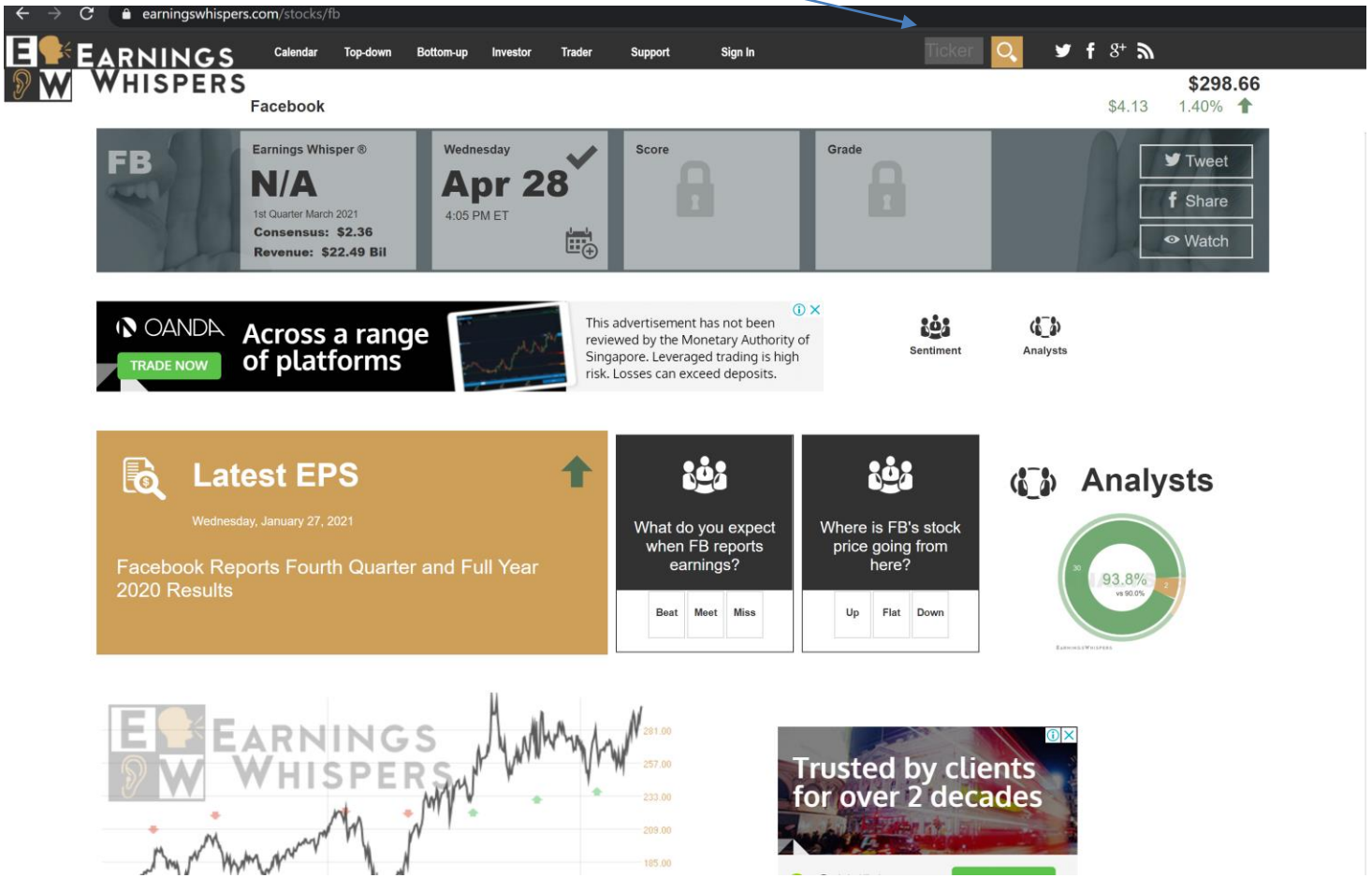
"Uncertainty and risk stemming from it are the very core of trading. Without risk, there would be no potential for profit. Traders take on risk in exchange for the potential for making money. That is their function. The ones who do this well make money. The ones who do this poorly lose money. This is the essence of the game." *Turtle Trader Curtis Faith in Inside the Mind of the Turtles.*

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# APPENDIX: MONITORING UPCOMING EARNINGS

## MONITORING UPCOMING EARNINGS DATE USING WHISPER EARNINGS

**https://www.earningswhispers.com/calendar**




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# APPENDIX: MONITORING UPCOMING EARNINGS

## MONITORING UPCOMING EARNINGS DATE FROM TOS CHART




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